# The New Rules Worksheet

NEGATIVE GEARING AFTER THE 2026 BUDGET · INVESTOR EDITION

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**The tax rule Australia's property market was built on has changed.** This worksheet helps you work out three things in about 15 minutes:

1. **Which bucket** each property you own or are considering falls into.
2. **What it really costs you to hold**, after tax, under the old rules and the new ones.
3. **Whether it still works** as an asset now the tax system no longer covers a weak purchase.

**The economy decides the average. The street decides your result.**
When the tax tailwind goes, selection is the whole game.

## What changed: the three buckets (as announced)

### 1 · Grandfathered

Owned, or under a binding contract, at **7:30pm AEST, 12 May 2026**. The old rules continue for as long as you hold the property.

### 2 · New build

Built on vacant land, bought off the plan, or one dwelling replaced by **more** dwellings. Full negative gearing is kept. The definition is narrow: a one-for-one knockdown rebuild generally doesn't count.

### 3 · Established, bought after budget night

From **1 July 2027**, net losses can't reduce salary income. They're quarantined and carried forward against future residential property income and capital gains.

If you buy an established property between 13 May 2026 and 30 June 2027, salary offset is available until 30 June 2027 and then the new rules apply. Changes to capital gains tax were also announced and aren't modelled here. **These are announced measures and may change as legislation is finalised.** Confirm your position with a registered tax agent.

## How to use this worksheet

- **Page 2:** tick the checklist for each property to confirm its bucket.
- **Page 3:** fill in the yellow column with your own numbers. A worked example sits beside it.
- **Page 4:** run the five "does it still work?" tests before you buy anything.

# Step 1 · Which bucket?

GRANDFATHERING CHECKLIST, ONE PER PROPERTY

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Property address / description: _____

## A. Is it grandfathered?

- ☐ I (or my entity) **owned** this property at 7:30pm AEST on 12 May 2026, *or*
- ☐ I had signed a **binding contract** to buy it before that time (the contract date counts, not settlement)
- ☐ I have the **contract of sale with its date and time** filed with my tax records
- ☐ Ownership hasn't changed since (check with your adviser before transferring, restructuring or adding an owner)

All boxes ticked → probably **Bucket 1**. The old rules continue while you hold the property. Note: whoever buys it from you later won't inherit your treatment.

## B. Is it a new build?

- ☐ Built on previously vacant land, *or*
- ☐ An apartment or dwelling bought **off the plan**, *or*
- ☐ An existing dwelling demolished and replaced with a **greater number** of dwellings
- ☐ It's **not** a one-for-one knockdown rebuild, an extension, a renovation or a granny flat on the same title
- ☐ I have the **occupancy certificate date** and the property's occupancy history (critical if buying near-new from a previous owner)

Ticked → possibly **Bucket 2**. The fine detail (how long "new" status lasts, previous occupancy) is still being clarified, so **get written tax advice before relying on it.**

## C. Otherwise

- ☐ Established property, contract signed **after** 7:30pm AEST 12 May 2026 → **Bucket 3**
- ☐ Contract signed before 1 July 2027 → salary offset until 30 June 2027, then quarantined
- ☐ Contract signed on or after 1 July 2027 → no salary offset at any time

**Unsure?** Write down the bucket you *think* it is and the question you need answered, then take this page to your tax agent.

My bucket: _____ Question for my adviser: _____

# Step 2 · The real holding cost

ANNUAL, AFTER TAX, OLD RULES VS NEW RULES

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**Worked example (illustrative only):** one owner earning $250,000 (assumed 47% marginal rate incl. Medicare levy) · $800,000 property · $640,000 loan (80%) at an assumed 6.8% interest-only. Established: gross yield 3.7%, minimal depreciation. New build: gross yield 4.0%, higher depreciation. Your figures will differ. **Use your own in the yellow column.**

| | Line | Established old rules / Bucket 1 | Established new rules / Bucket 3 | New build Bucket 2 | Your property |
|---|---|---|---|---|---|
| A | Rent received (per year) | $29,600 | $29,600 | $32,000 | |
| B | Loan interest | –$43,520 | –$43,520 | –$43,520 | |
| C | Holding costs (rates, insurance, management, strata, repairs, land tax) | –$7,000 | –$7,000 | –$7,000 | |
| D | **Cash result before tax** = A – B – C | –$20,920 | –$20,920 | –$18,520 | |
| E | Depreciation (non-cash deduction; get a quantity surveyor report) | –$2,000 | –$2,000 | –$15,000 | |
| F | **Taxable result** = D – E | –$22,920 | –$22,920 | –$33,520 | |
| G | Your marginal tax rate (incl. Medicare) | 47% | 47% | 47% | |
| H | **Tax saved against salary** = –F × G (only if salary offset allowed) | $10,772 | $0 (quarantined) | $15,754 | |
| I | **After-tax cost to hold = D + H (per year)** | **–$10,148** | **–$20,920** | **–$2,766** | |
| J | **Per week = I ÷ 52** | **–$195** | **–$402** | **–$53** | |
| K | Loss carried forward each year (Bucket 3 only; usable against future property income or gains) | — | $22,920 | — | |

In this example, the **same established property costs about $10,772 a year more to hold** under the new rules (–$402 vs –$195 a week). The new build looks far cheaper to hold (–$53 a week). **But cash flow isn't wealth.** Our analysis of 7.5 million sales found established homes finished about **$205,000 ahead** of turnkey new homes over five years, despite the new homes' better cash flow from tax benefits. Run Step 3 before you choose.

## Can I comfortably carry line J?

| Check | Your answer |
|---|---|
| Line J (per week) as a % of my household's spare weekly cash flow | |
| Line J again if interest is **1% higher** (add loan × 1% ÷ 52 to the weekly cost) | |
| Months of holding costs I have in buffer (target: 6+ months) | |

Illustrative example using assumed figures; not a forecast. Tax outcomes depend on your circumstances and final legislation. Get advice from a registered tax agent.

# Step 3 · Does it still work?

FIVE TESTS NOW THE TAX BREAK NO LONGER COVERS A WEAK PURCHASE

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| # | Test | What good looks like | Pass? |
|---|---|---|---|
| 1 | **Asset, not tax break.** Would I still buy it if line H were $0? | Yes, on land value, location and demand alone | |
| 2 | **The street, not the suburb.** What share of the street is owner-occupied, and what share is social housing? | A high owner-occupier share, low social housing; sold prices holding on *this* street | |
| 3 | **Yield vs holding cost.** Does the rent carry most of the cost without tax help? | Line D close to break-even; rents rising, vacancy low | |
| 4 | **Who buys it from me?** Will the next buyer still want it under the new rules? | Appeals to owner-occupiers, not only to tax-driven investors | |
| 5 | **Sequence.** Is this the right asset for my stage: growth base, then income, then legacy? | It fills the gap in my portfolio, not just the gap in my tax return | |

**Who should wait?** If line J doesn't fit comfortably inside your spare cash flow, with a 1% rate buffer and six months of reserves, the right move may be not to buy yet. Build your buffers first. Sometimes the best decision is not to move.

## Want us to run this with you?

**30 min**

**Investor Decision Review** with Ripehouse Advisory. We go through your numbers, your structure and the streets that actually fit your brief, with both decision-makers in the room. You leave with a written summary of what to do next, including if that's "not yet".

**Book at ripehouseadvisory.com.au**

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## Important information

This worksheet is general information only. It doesn't take into account your objectives, financial situation or needs, and it isn't personal financial, tax, credit or legal advice. The negative gearing and capital gains tax changes described are measures announced in the 2026–27 Federal Budget and may change before or after legislation. The worked example uses assumed, illustrative figures and isn't a prediction. Tax outcomes depend on your circumstances, ownership structure and the final law. Speak with a registered tax agent, licensed financial adviser and credit provider before acting. Ripehouse Advisory is a buyers advisory and doesn't provide tax advice.

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